

**MOUNT KENYA UNIVERSITY
SCHOOL OF SOCIAL SCIENCES
DEPARTMENT OF [.....]**

**REGULATORY ALIGNMENT AND STRATEGIC SUSTAINABILITY OF
CLIMATE FUNDS IN DEVOLVED GOVERNANCE: A CASE OF NANDI
COUNTY, KENYA**

**[FULL NAME OF STUDENT]
[REGISTRATION NUMBER]**

A Research Proposal Submitted to the School of Social Sciences in Partial Fulfilment
of the Requirements for the Award of the Degree of Master of Public Policy and
Administration of Mount Kenya University

SEPTEMBER 2026

DECLARATION

I declare that this research proposal is my original work and that it has not been presented for the award of a degree or any other award in any other university.

Signature: _____ Date: _____

[Full Name of Student]

[Registration Number]

Supervisor's Approval

This research proposal has been submitted for examination with my approval as the University supervisor.

Signature: _____ Date: _____

[Name of Supervisor]

Department of [.....], Mount Kenya University

DEDICATION

This work is dedicated to my family for their patience and steady encouragement, and to the farming households of Nandi County, who live with the effects of a changing climate every season.

ACKNOWLEDGEMENT

I give thanks to God for the health, strength and provision that have carried me through this stage of my studies. My sincere appreciation goes to my supervisor, whose careful reading and frank comments have shaped this proposal from the concept stage to its present form. I also thank the lecturers and staff of the School of Social Sciences at Mount Kenya University for the knowledge they have shared with me. Several officers and community members involved in climate action in Nandi County were kind enough to discuss the topic with me informally, and their views helped me to sharpen the focus of the study. To my classmates and my family, thank you for your encouragement and understanding throughout.

TABLE OF CONTENTS

DECLARATION.....	ii
DEDICATION.....	iii
ACKNOWLEDGEMENT.....	iv
TABLE OF CONTENTS.....	v
LIST OF TABLES.....	vii
LIST OF FIGURES.....	viii
ABBREVIATIONS AND ACRONYMS.....	ix
OPERATIONAL DEFINITION OF TERMS.....	x
ABSTRACT.....	xi
CHAPTER ONE INTRODUCTION.....	1
1.1 Background to the Study.....	1
1.2 Statement of the Problem.....	3
1.3 Purpose of the Study.....	4
1.4 Research Objectives.....	4
1.4.1 General Objective.....	4
1.4.2 Specific Objectives.....	4
1.5 Research Questions.....	4
1.6 Research Hypotheses.....	5
1.7 Justification of the Study.....	5
1.8 Significance of the Study.....	5
1.9 Limitations of the Study.....	6
1.10 Delimitations of the Study.....	6
1.11 Assumptions of the Study.....	7
CHAPTER TWO LITERATURE REVIEW.....	8
2.1 Introduction.....	8
2.2 Theoretical Review.....	8
2.2.1 Institutional Theory.....	8
2.2.2 Resource Dependence Theory.....	9
2.2.3 Stakeholder Theory.....	9
2.2.4 Polycentric Governance Theory.....	10
2.3 Empirical Review.....	10
2.3.1 Legal and Policy Framework Compliance and Sustainability of Climate Funds.....	10
2.3.2 Institutional Governance Arrangements and Sustainability of Climate Funds.....	11
2.3.3 Financial Resource Mobilisation and Sustainability of Climate Funds.....	11
2.3.4 Community Participation, Accountability and Sustainability of Climate Funds.....	12
2.4 Conceptual Framework.....	12
2.5 Critique of Existing Literature.....	13
2.6 Summary of Literature and Research Gaps.....	14
CHAPTER THREE RESEARCH METHODOLOGY.....	15
3.1 Introduction.....	15
3.2 Research Design.....	15
3.3 Location of the Study.....	15
3.4 Target Population.....	15
3.5 Sampling Techniques and Sample Size.....	16
3.5.1 Sample Size.....	16

3.5.2 Sampling Techniques.....	16
3.6 Research Instruments.....	17
3.7 Pilot Testing.....	18
3.7.1 Validity of Research Instruments.....	18
3.7.2 Reliability of Research Instruments.....	19
3.8 Data Collection Procedures.....	19
3.9 Data Analysis and Presentation.....	19
3.10 Ethical Considerations.....	21
REFERENCES.....	22
APPENDICES.....	26
Appendix I: Letter of Introduction.....	26
Appendix II: Informed Consent Form.....	26
Appendix III: Questionnaire.....	26
Section A: Background Information.....	27
Section B: Legal and Policy Framework Compliance.....	27
Section C: Institutional Governance Arrangements.....	27
Section D: Financial Resource Mobilisation.....	28
Section E: Community Participation and Accountability.....	28
Section F: Political and Administrative Leadership.....	29
Section G: Strategic Sustainability of the Climate Fund.....	29
Section H: General Comments.....	29
Appendix IV: Key Informant Interview Guide.....	30
Appendix V: Document Analysis Checklist and Regulatory Alignment Matrix....	30
Appendix VI: Work Plan.....	31
Appendix VII: Research Budget.....	31

LIST OF TABLES

Table 2.1: Summary of Research Gaps

Table 3.1: Target Population

Table 3.2: Sample Size Distribution

Table 3.3: Operationalisation of Study Variables

Table 3.4: Summary of Data Analysis by Objective

LIST OF FIGURES

Figure 2.1: Conceptual Framework

ABBREVIATIONS AND ACRONYMS

Abbreviation	Meaning
CCCCF	County Climate Change Fund
CCIS	County Climate Institutional Support grant
CCRI	County Climate Resilience Investment grant
CIDP	County Integrated Development Plan
CoB	Controller of Budget
CSO	Civil Society Organisation
CVI	Content Validity Index
FLLoCA	Financing Locally-Led Climate Action Program
IPCC	Intergovernmental Panel on Climate Change
KII	Key Informant Interview
KNBS	Kenya National Bureau of Statistics
LLA	Locally Led Adaptation
MKU	Mount Kenya University
NACOSTI	National Commission for Science, Technology and Innovation
NCCAP	National Climate Change Action Plan
PCRA	Participatory Climate Risk Assessment
PFM	Public Finance Management
PWDs	Persons with Disabilities
SPSS	Statistical Package for the Social Sciences
UNEP	United Nations Environment Programme
WCCPC	Ward Climate Change Planning Committee

OPERATIONAL DEFINITION OF TERMS

Climate fund: A ring-fenced pool of county money, created by law, from which the county pays for climate adaptation and mitigation activities. In this study the term refers to the Nandi County Climate Change Fund together with the FLLoCA grants that flow through it.

Devolved governance: The two-level system of government set up by the Constitution of Kenya, 2010, under which political, administrative and fiscal authority is shared between the national government and 47 county governments.

Regulatory alignment: How far the county's climate finance laws, plans, structures and day-to-day practices agree with, and actually comply with, the national legal framework. It is measured through four dimensions: legal and policy framework compliance, institutional governance arrangements, financial resource mobilisation, and community participation and accountability.

Strategic sustainability: The capacity of the climate fund to keep financing locally chosen climate actions year after year, especially once external grants reduce or end. It is shown by predictable allocations, a varied revenue base, stable institutions and staff, well-maintained assets and the presence of a transition plan.

Institutional governance arrangements: The formal bodies and rules through which the fund is run, including the Climate Change Unit, the county climate change steering committee, the fund administrator and the Ward Climate Change Planning Committees.

Financial resource mobilisation: The ways in which the county raises money for the climate fund, whether from its equitable share, own-source revenue, conditional grants, development partners or private and green finance.

Political and administrative leadership: The support given to the climate fund by the Governor, the County Executive Committee, the County Assembly and senior officers, including the stability of those offices over time.

Locally led adaptation: Adaptation in which communities and local institutions hold real decision-making power over how climate money is prioritised, spent and monitored.

ABSTRACT

Kenya has built one of the more complete legal frameworks for devolved climate finance in Africa. Counties are now expected to pass climate change laws, create climate change units and ring-fence part of their development budgets in a county climate fund, and those that do so qualify for performance grants under the Financing Locally-Led Climate Action (FLLoCA) Program. Nandi County has met these conditions on paper. Much less is known about whether this formal alignment is strong enough to keep the fund running once external grants taper off. Existing research has concentrated on the arid pilot counties and on national-level coordination, leaving high-rainfall agricultural counties such as Nandi largely unexamined. This study therefore seeks to assess the influence of regulatory alignment on the strategic sustainability of climate funds in Nandi County. Specifically, it will examine the influence of legal and policy framework compliance, institutional governance arrangements, financial resource mobilisation and community participation and accountability on the sustainability of the fund, and test whether political and administrative leadership moderates these relationships. The study is anchored on institutional theory, resource dependence theory, stakeholder theory and polycentric governance theory. A convergent parallel mixed methods design will be used. The target population is 400 people directly involved in the fund, from whom 200 respondents will be selected through proportionate stratified random sampling using Yamane's formula, and eight key informants will be chosen purposively. Data will be collected through a questionnaire, a key informant interview guide and a document analysis checklist that includes a regulatory alignment matrix. Quantitative data will be analysed using descriptive statistics, Pearson's correlation, multiple regression and moderated regression in SPSS, while qualitative data will be analysed thematically. The findings are expected to guide the County Government of Nandi, the County Assembly, the National Treasury and development partners on how to keep county climate funds alive beyond the current phase of external support.

Key words: climate finance, county climate change fund, devolution, regulatory alignment, sustainability, Nandi County

CHAPTER ONE

INTRODUCTION

1.1 Background to the Study

For many developing countries, climate change is already part of ordinary life. It appears as seasons that fail, rains that arrive too hard or too late, landslides, new crop pests and a growing bill for emergency response. The Intergovernmental Panel on Climate Change notes that the communities that have contributed least to global emissions are often the most exposed to these effects, and that current adaptation efforts fall well short of what is needed (Intergovernmental Panel on Climate Change [IPCC], 2022). The United Nations Environment Programme reached a similar conclusion in two successive reports, describing the world as underfinanced and underprepared, and estimating that the adaptation finance needs of developing countries are many times higher than the money currently flowing to them (United Nations Environment Programme [UNEP], 2023, 2024).

Alongside the question of how much money is available, there is a growing concern about how that money reaches the places where climate risks are actually felt. International adaptation finance has long been channelled through national ministries and large projects, and this route has been criticised as slow and difficult to trace. Roberts et al. (2021) showed that loose definitions of what counts as climate finance made it impossible to verify whether rich countries had met their pledge of mobilising US\$100 billion a year by 2020. Even the Green Climate Fund, which commits itself on paper to local delivery, has struggled to get money down to local actors (Omukuti et al., 2022). A review by Tye and Suarez (2021) found that local people are frequently involved in adaptation projects but seldom in decisions about the money, design and implementation of those projects. These concerns gave rise to the principles of locally led adaptation, which call for finance that is devolved to the lowest appropriate level, predictable over time and governed with the genuine involvement of affected communities (Coger et al., 2022; Rahman et al., 2023).

Africa is particularly exposed, because its economies still depend heavily on rain-fed farming. In Kenya, changes in rainfall patterns and rising temperatures have already cut crop yields, harmed livestock production and weakened household food security (Kogo et al., 2021). The country has responded with a fairly advanced legal framework. The Constitution of Kenya, 2010 created 47 counties and gave them functions that are highly sensitive to climate, including agriculture, county planning, water and soil conservation and disaster management (Republic of Kenya, 2010). The Climate Change Act, 2016 requires both levels of government to integrate climate change into their

plans and budgets, and the Climate Change (Amendment) Act, 2023 extended the framework to carbon markets (Republic of Kenya, 2016, 2023). The Public Finance Management Act, 2012 permits counties to set up special purpose funds with the approval of their assemblies, and this is the legal basis on which county climate change funds rest (Republic of Kenya, 2012b). At the national level, the third National Climate Change Action Plan (2023–2027) now expects counties to play a central role in delivering adaptation (Ministry of Environment, Climate Change and Forestry, 2023).

The county climate change fund model started as a pilot in a handful of arid counties, where it showed that ward committees could identify and oversee community investments in water, rangelands and livelihoods. It has since been scaled up nationally through the Financing Locally-Led Climate Action (FLLoCA) Program, which is financed by the Government of Kenya, the World Bank and other partners. Under FLLoCA, a county can access a County Climate Institutional Support (CCIS) grant and a larger County Climate Resilience Investment (CCRI) grant only after meeting minimum conditions, such as passing climate change legislation, creating a climate change unit and committing part of its development budget to a climate fund (World Bank, 2021). In this system, regulatory alignment is much more than paperwork; it determines whether a county gets the money at all. Yet Mulwaa and Gravesen (2026), in a study of six Kenyan counties, found that centralised borrowing rules, conditional transfers and nationally mediated international finance continue to limit what counties can do, even under programmes designed to support local action.

Nandi County, in the North Rift, offers a useful setting for looking at how this system works beyond the arid counties where it was first tested. The county has 885,711 residents (Kenya National Bureau of Statistics [KNBS], 2019), six sub-counties and 30 wards, and an economy built largely on tea, dairy and maize. Its high rainfall and hilly landscape make it an important water catchment for the Lake Victoria basin, but the same features expose it to landslides, floods, soil erosion and unreliable seasons (County Government of Nandi, 2023a, 2023b). Farmers in the county already link longer rainy seasons with heavier infestation of dodder, a parasitic weed that damages tea bushes (Mong’o et al., 2025). In 2021 the county passed climate change fund legislation under the Public Finance Management Act, 2012, committing two per cent of its annual development budget to climate action (FSD Kenya, 2024). As a FLLoCA county, it has also set up a Climate Change Unit, trained Ward Climate Change Planning Committees and completed a Participatory Climate Risk Assessment in 2023 (County Government of Nandi, 2023b). On paper, therefore, the Nandi climate fund is well aligned with national law. Whether that alignment runs deep enough to sustain the fund after the current FLLoCA phase is the question this study sets out to answer.

1.2 Statement of the Problem

Kenya's approach to devolved climate finance rests on a straightforward expectation: counties that put the right laws, institutions and budget commitments in place will receive steady funding for community-chosen climate actions. In Nandi County, the legal and institutional pieces are now in place. The county has a climate fund law, a two per cent development budget commitment, a Climate Change Unit and ward-level planning committees (County Government of Nandi, 2023b; FSD Kenya, 2024). Ideally, these arrangements should give the county a stable and well-governed fund that continues to finance local adaptation from its own budget long after external grants have ended.

There are good reasons to doubt that this will happen automatically. Kenyan counties rely heavily on transfers from the national government, and the Office of the Controller of Budget has repeatedly reported delayed exchequer releases and low absorption of development funds at county level (Office of the Controller of Budget [CoB], 2025). Research on climate finance coordination in Kenya shows that power relations and competing interests often weaken formal arrangements, so that ownership on paper does not always translate into effective coordination (Shawoo et al., 2022). Mulwaa and Gravesen (2026) found that fiscal rules and conditional transfers continue to restrict what counties can do with adaptation finance. The first national assessment of devolution concluded that its contribution to service delivery has been mixed, partly because of uncertainty over financing and weak accountability (Muwonge et al., 2022). At the community level, Rahman et al. (2023) warn that locally led adaptation can slide into tokenistic participation and short-term project funding.

If the gap between formal alignment and genuine sustainability is not understood and addressed, Nandi County could follow a pattern familiar in donor-supported programmes: a burst of investment while performance grants last, followed by stalled projects, inactive committees and a fund that exists in law but not in practice. Communities that gave their time to risk assessments and project selection would lose trust in county climate governance, and the county would remain exposed to landslides, floods and crop losses. Most studies to date have focused on the arid pilot counties, urban counties or national coordination (Lutta et al., 2025; Mbugua, 2025; Shawoo et al., 2022), and very few have examined, in a high-rainfall agricultural county, how the quality of regulatory alignment relates to the long-term sustainability of a climate fund. This study therefore seeks to assess the influence of regulatory alignment on the strategic sustainability of climate funds in Nandi County, Kenya.

1.3 Purpose of the Study

The purpose of this study is to establish how the alignment of Nandi County's climate finance laws, institutions, resource mobilisation practices and accountability mechanisms with Kenya's national regulatory framework affects the strategic sustainability of the county climate fund, and to recommend measures that would keep the fund viable after the current phase of external support.

1.4 Research Objectives

1.4.1 General Objective

To assess the influence of regulatory alignment on the strategic sustainability of climate funds in devolved governance, with specific reference to Nandi County, Kenya.

1.4.2 Specific Objectives

The study will be guided by the following specific objectives:

- i. To examine the influence of legal and policy framework compliance on the strategic sustainability of climate funds in Nandi County.
- ii. To assess the influence of institutional governance arrangements on the strategic sustainability of climate funds in Nandi County.
- iii. To evaluate the influence of financial resource mobilisation practices on the strategic sustainability of climate funds in Nandi County.
- iv. To determine the influence of community participation and accountability mechanisms on the strategic sustainability of climate funds in Nandi County.
- v. To establish the moderating effect of political and administrative leadership on the relationship between regulatory alignment and the strategic sustainability of climate funds in Nandi County.

1.5 Research Questions

The study will seek to answer the following questions:

- i. How does compliance with the legal and policy framework influence the strategic sustainability of climate funds in Nandi County?
- ii. What is the influence of institutional governance arrangements on the strategic sustainability of climate funds in Nandi County?
- iii. In what ways do financial resource mobilisation practices influence the strategic sustainability of climate funds in Nandi County?
- iv. How do community participation and accountability mechanisms influence the strategic sustainability of climate funds in Nandi County?

- v. Does political and administrative leadership moderate the relationship between regulatory alignment and the strategic sustainability of climate funds in Nandi County?

1.6 Research Hypotheses

The following null hypotheses will be tested at the 0.05 level of significance:

H₀₁: Legal and policy framework compliance has no significant influence on the strategic sustainability of climate funds in Nandi County.

H₀₂: Institutional governance arrangements have no significant influence on the strategic sustainability of climate funds in Nandi County.

H₀₃: Financial resource mobilisation practices have no significant influence on the strategic sustainability of climate funds in Nandi County.

H₀₄: Community participation and accountability mechanisms have no significant influence on the strategic sustainability of climate funds in Nandi County.

H₀₅: Political and administrative leadership has no significant moderating effect on the relationship between regulatory alignment and the strategic sustainability of climate funds in Nandi County.

1.7 Justification of the Study

Three considerations make this study timely. The first concerns timing. The current FLLoCA phase is drawing to a close, and counties will soon have to show that their climate funds can survive on their own budgets. Evidence collected now can still shape county budget and policy decisions before external grants decline. The second concerns geography. Much of what is known about county climate funds in Kenya comes from arid and semi-arid counties (Lutta et al., 2025) or from urban counties such as Nairobi (Mbugua, 2025; Oluoch et al., 2025). Nandi is a high-rainfall, agriculturally productive county whose climate risks, revenue base and politics differ from those settings, so its experience fills a gap in the evidence. The third concerns the changing law. The Climate Change (Amendment) Act, 2023 and the third National Climate Change Action Plan have changed what is expected of counties (Ministry of Environment, Climate Change and Forestry, 2023; Republic of Kenya, 2023), and it is not yet clear how well county laws have kept pace.

1.8 Significance of the Study

The findings are expected to be useful to the following groups:

- **The County Government of Nandi**, especially the departments responsible for environment, climate change, finance and economic planning, will obtain an evidence-based picture of where its climate finance framework is strong, where it needs amendment and which options can sustain the fund.
- **The Nandi County Assembly** will gain information to guide its law-making, budget approval and oversight of the climate fund.
- **The National Treasury, the Council of Governors and the national climate change directorate** may use the findings to refine performance conditions and support for counties as FLLoCA transitions.
- **Development partners and civil society organisations** working on locally led adaptation will find evidence on what makes devolved climate funds last.
- **Ward Climate Change Planning Committees and communities** will benefit from recommendations on how to strengthen their voice in fund decisions.
- **Scholars** will find an addition to the literature on climate finance governance and fiscal decentralisation, and a basis for comparable studies in other counties.

1.9 Limitations of the Study

Some county officers may be unwilling to discuss budget execution or audit findings, which they may regard as sensitive. The researcher will present an introduction letter from the University and a NACOSTI research permit, assure respondents of confidentiality, and cross-check their responses against published budget and audit reports. Some ward committee members may not be comfortable reading English, so the questionnaire will be translated into Kiswahili and research assistants who speak local languages will help where necessary. Because the study focuses on one county, its findings may not apply directly to all counties, although the framework it develops can be used elsewhere.

1.10 Delimitations of the Study

The study will be carried out in Nandi County and will cover all six sub-counties, namely Aldai, Chesumei, Emgwen, Mosop, Nandi Hills and Tinderet, and the 30 county assembly wards. In terms of content, it will focus on four dimensions of regulatory alignment and on political and administrative leadership as a moderator, and will not evaluate the technical quality of individual climate projects. Respondents will be limited to county officers involved in climate finance, members of the relevant committees, members of the County Assembly, Ward Climate Change Planning Committee members and representatives of civil society. The study will cover the

period from the 2021/2022 financial year, when the county's climate fund law was adopted, to the 2025/2026 financial year.

1.11 Assumptions of the Study

The study assumes that respondents will give honest and accurate answers, that county budget, expenditure and audit records for the study period are available and reliable, and that the county's climate finance institutions will remain in place throughout the data collection period.

CHAPTER TWO

LITERATURE REVIEW

2.1 Introduction

This chapter reviews the literature that informs the study. It begins with the theories on which the study is anchored, then reviews empirical studies related to each objective. The conceptual framework, a critique of the literature and a summary of the research gaps close the chapter.

2.2 Theoretical Review

Four theories guide the study. Institutional theory helps explain why counties adopt climate finance laws and structures, and whether those structures are real or only for show. Resource dependence theory explains how the source and mix of funding shape the fund's survival. Stakeholder theory explains why participation and accountability matter, and polycentric governance theory explains how the different levels of government interact in managing climate finance.

2.2.1 Institutional Theory

Institutional theory, first set out by Meyer and Rowan (1977) and developed by DiMaggio and Powell (1983), argues that organisations adopt certain structures and rules not only because they work but because they earn legitimacy in the eyes of regulators, funders and the public. DiMaggio and Powell (1983) described three pressures that push organisations in the same field to look alike: coercive pressure from laws and resource providers, mimetic pressure to copy those who appear successful, and normative pressure from professional standards. One of the theory's most useful ideas is decoupling, where an organisation adopts a formal structure to look legitimate while its daily practice carries on much as before (Meyer & Rowan, 1977). More recent work has applied these ideas to climate policy in the public sector. Zhang and Welch (2023), for instance, found that the way public organisations adapt to climate change depends on how national rules and expectations combine with the organisation's own culture and structure.

The theory fits this study because Kenyan counties face strong coercive pressure to adopt climate laws, climate change units and fund regulations, both from the Climate Change Act, 2016 and from the minimum access conditions of FLLoCA (World Bank, 2021). Counties also copy the model developed in the pilot counties. Institutional theory therefore allows the study to ask whether Nandi's alignment is substantive or merely ceremonial. A county could pass a law and form committees to qualify for grants, and then leave them underfunded or inactive. The theory is less helpful in explaining how

organisations secure the resources needed to keep new structures running, a gap filled by resource dependence theory. It informs the first and second objectives.

2.2.2 Resource Dependence Theory

Resource dependence theory was advanced by Pfeffer and Salancik (1978), who argued that no organisation is self-sufficient and that each must obtain key resources from its environment. Those who control these resources gain influence over the organisation, which in turn tries to reduce its dependence by diversifying its sources, forming partnerships or taking political action. The theory has been widely used to explain how public bodies respond to uncertain funding.

County climate funds in Kenya rely on resources they do not fully control: the equitable share from the national government, conditional grants such as the FLLoCA CCIS and CCRI grants, and a modest own-source revenue base. Counties depend heavily on national transfers, and delays in exchequer releases are a recurring problem (CoB, 2025). When most of a fund's money comes from one external source with a fixed end date, the fund is at risk once that source ends. The theory therefore predicts that a climate fund with more varied and more locally controlled revenue will be more sustainable. It underpins the third objective, though it says little about the role of citizens, which stakeholder theory addresses.

2.2.3 Stakeholder Theory

Stakeholder theory was popularised by Freeman (1984), who argued that an organisation should be run with the interests of all those who affect or are affected by its work in mind, not only those of its owners. Freeman et al. (2021) have since shown that paying attention to stakeholders brings practical benefits, including cooperation, legitimacy and long-term sustainability, in addition to its ethical value. In the public sector, this means that a programme which responds to the people it serves is more likely to be supported and protected by them.

In devolved climate finance, the stakeholders include residents of climate-vulnerable wards, Ward Climate Change Planning Committees, the County Assembly, county departments, the National Treasury, development partners and civil society. The Constitution and the County Governments Act, 2012 make public participation a legal requirement in county planning and budgeting (Republic of Kenya, 2010, 2012a). Stakeholder theory suggests that where these groups have genuine influence over how the fund is used and can hold officials to account, they will defend its budget and help look after the assets it finances. The theory underpins the fourth objective. Its weakness is the assumption that all stakeholders can easily be identified and heard, when in practice participation spaces can be dominated by local elites (Rahman et al., 2023).

2.2.4 Polycentric Governance Theory

Ostrom (2010) argued that climate change, although a global collective action problem, cannot be solved through a single global agreement alone. Many actions taken by different, overlapping centres of authority at various scales can together make a difference, and such polycentric systems encourage experimentation, learning and trust. Kellner et al. (2024), reviewing recent empirical work, note that polycentric climate governance still depends heavily on the state, and that power relations and leadership shape whether the different centres actually cooperate. Kenya's devolved climate finance system is polycentric by design: the national government sets policy and grant conditions, counties legislate and manage funds, and ward committees identify and oversee investments. The theory helps explain the moderating role of political and administrative leadership in this study, since cooperation across these centres depends on the willingness of leaders at each level to work together.

2.3 Empirical Review

This section reviews empirical studies related to each of the study variables.

2.3.1 Legal and Policy Framework Compliance and Sustainability of Climate Funds

Mbugua (2025) studied the challenges that counties face in implementing the Climate Change Act, 2016, using case studies of urban counties in Kenya. By focusing on implementation rather than on the law itself, the study draws attention to the distance between what the Act requires of counties and what they are actually able to deliver. It therefore supports the view that passing a law is only the first step. The study concentrated on urban counties, however, and did not measure the relationship between compliance and the sustainability of a climate fund.

Kowalczyk and Dorevitch (2024) developed a framework for assessing local adaptive capacity to the health effects of climate change using Kenya's County Integrated Development Plans. When they applied it, they found wide variation in how counties treated climate-sensitive health hazards in their plans. Although the study was about health, it demonstrates that national requirements to mainstream climate change are applied unevenly, which makes it necessary to measure the depth of alignment in a particular county rather than assume it. The study used document analysis only and did not examine budgets or fund performance.

Outside Kenya, Omukuti et al. (2022) assessed the Green Climate Fund's commitment to local delivery of adaptation finance through interviews and policy review. They found that although the Fund's policies promise local delivery, several barriers in its

rules and accreditation processes stop money from reaching the local level. The study shows that alignment with policy on paper can hide practical barriers. It dealt with an international fund, however, rather than a county fund.

2.3.2 Institutional Governance Arrangements and Sustainability of Climate Funds

Shawoo et al. (2022) compared climate finance coordination in Kenya and Zambia using interviews, policy documents and literature. They found that political factors, including power dynamics, competing views of climate finance and vested interests, shaped how actors interacted and hampered coordination in both countries, even where national ownership was strong. The study shows that institutions on paper are not enough and that the way they operate in a political setting matters. It focused on national coordination rather than on county funds.

Muwonge et al. (2022), in the first major assessment of Kenya's devolution, reviewed service delivery in five sectors together with public financial management, intergovernmental finance, human resources and accountability. They concluded that devolution had helped counties build institutions and systems, but that weak capacity, unclear financing and uneven accountability limited its results. Oluoch et al. (2025) reached a related conclusion in Nairobi, where a participatory local stocktake identified gaps in climate governance structures, data and financing, and recommended stronger county institutions. These studies suggest that the quality of county institutions can determine whether climate funds work well. Neither, however, tested this relationship statistically for a climate fund.

2.3.3 Financial Resource Mobilisation and Sustainability of Climate Funds

Lutta et al. (2025) mapped climate finance in four arid and semi-arid counties, namely Elgeyo Marakwet, Turkana, West Pokot and Narok, looking at the sources, channels and uses of climate-related money. Theirs is one of the few county-level analyses of where climate finance comes from, and it highlights the need to track such money at county level. The study was descriptive and did not examine how the mix of funding sources affects the long-term sustainability of county funds.

FSD Kenya (2024) carried out a green finance assessment of Nandi County. It noted that the county's climate change fund legislation, formulated under the Public Finance Management Act, 2012, commits two per cent of the annual development budget to climate change, and identified other laws and plans that support green investment. The assessment is a useful baseline, but it was not an academic study and did not test the link between financing practices and sustainability. Mulwaa and Gravesen (2026) went further by studying six counties through interviews, budget analysis and document review. They found that centralised borrowing rules, conditional transfers and

nationally mediated international finance limited what counties could do, even under programmes meant to support local action. Their work suggests that the sustainability of county climate funds depends partly on fiscal arrangements that counties do not control, but it did not include Nandi or measure sustainability directly.

At the global level, UNEP (2024) reported that adaptation finance flows to developing countries remain far below estimated needs, and Roberts et al. (2021) showed that vague accounting has made international climate finance hard to verify. Together these studies suggest that counties relying on international money face uncertainties beyond their control, which strengthens the case for domestic and predictable funding.

2.3.4 Community Participation, Accountability and Sustainability of Climate Funds

Tye and Suarez (2021) reviewed more than 70 evaluation documents on adaptation programmes and found that local actors were often involved in activities but rarely in decisions about finance, design and implementation. Cogger et al. (2022) reviewed practical approaches to locally led adaptation in Africa, Asia-Pacific, the Caribbean and Latin America and recommended devolving decisions to the lowest appropriate level, investing in local capacity and providing patient, predictable funding. Rahman et al. (2023) examined the promise and pitfalls of locally led adaptation and warned against tokenistic participation, the reproduction of local inequalities and short-term project funding that weakens local capacity.

In Kenya, Oino and Musau (2024) found that community engagement and participatory approaches were essential for effective adaptation, but only when they took account of local culture and language. Okeke-Ogbuafor et al. (2024) evaluated locally led adaptation metrics relevant to Kenya's smallholder farmers and proposed a framework for measuring it. These studies agree that participation must be meaningful and measurable if adaptation is to be effective and lasting. None of them, however, linked participation and accountability directly to the financial sustainability of a county climate fund.

2.4 Conceptual Framework

Figure 2.1 shows the expected relationship between the study variables. The independent variables are four dimensions of regulatory alignment: legal and policy framework compliance, institutional governance arrangements, financial resource mobilisation, and community participation and accountability. The dependent variable is the strategic sustainability of the climate fund. Political and administrative leadership is expected to moderate these relationships, strengthening them where leaders support the fund and weakening them where support is absent.

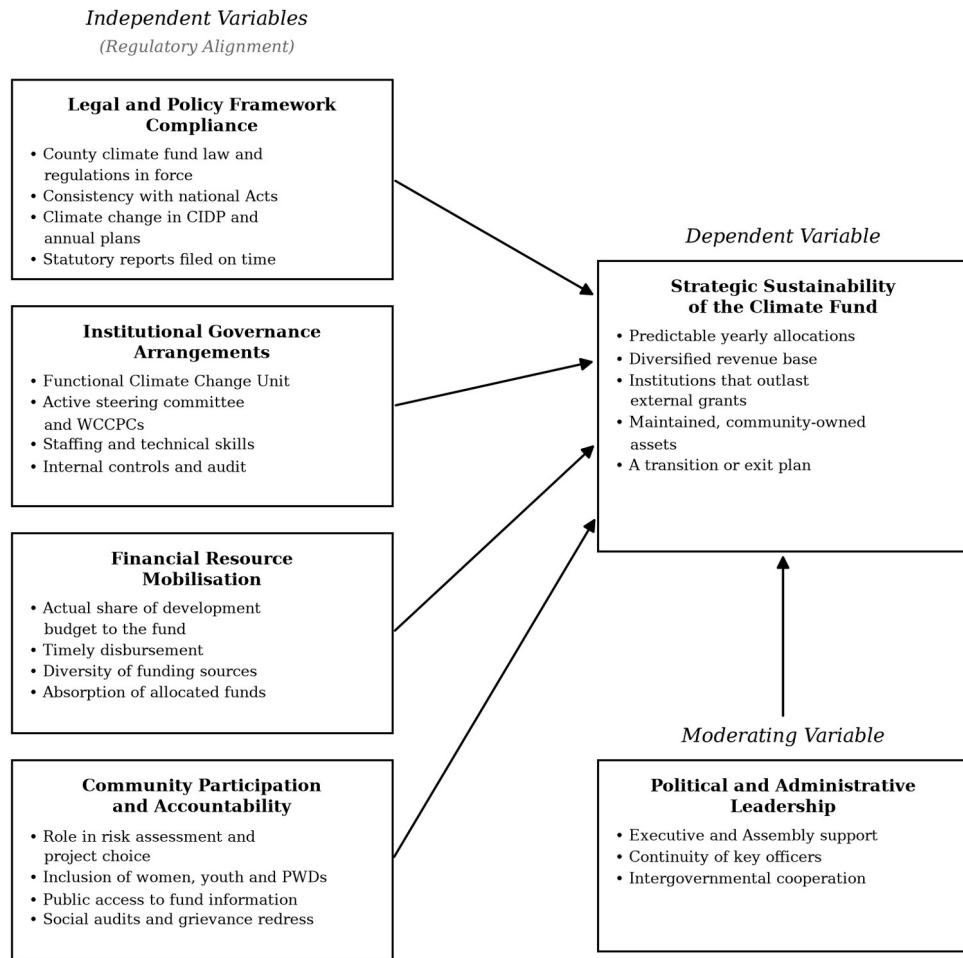


Figure 2.1: Conceptual Framework

Source: Researcher (2026)

2.5 Critique of Existing Literature

The literature agrees that sound laws, working institutions, reliable funding and genuine participation matter for climate finance, but it has four main weaknesses. First, much of the Kenyan evidence comes from arid pilot counties, urban counties or national coordination (Lutta et al., 2025; Mbugua, 2025; Shawoo et al., 2022), leaving high-rainfall agricultural counties such as Nandi largely unstudied. Second, most studies are descriptive or qualitative. They show that problems exist but do not measure how strongly each dimension of alignment is related to the sustainability of a fund. Third, several studies treat the existence of a law or committee as evidence of alignment, without checking whether these structures function in practice, which is exactly the decoupling that institutional theory warns about. Fourth, the role of political and administrative leadership is often mentioned but rarely tested as a variable. This study responds by combining a survey with a regulatory alignment matrix and document analysis, testing each dimension statistically and including leadership as a moderator.

2.6 Summary of Literature and Research Gaps

The review shows that Kenya has built a strong legal basis for devolved climate finance, but that funds remain exposed to external dependence, political interference, uneven mainstreaming in county plans and participation that does not always give vulnerable groups real influence. Table 2.1 summarises the gaps that this study seeks to fill.

Table 2.1: Summary of Research Gaps

Author(s) and Year	Focus and Key Findings	Research Gap	Focus of Current Study
Mbugua (2025)	Challenges of implementing the Climate Change Act in urban counties	Urban counties only; no link to fund sustainability	Tests legal compliance against fund sustainability in a rural county
Kowalczyk and Dorevitch (2024)	Climate and health in CIDPs; wide variation between counties	Health sector; plans only, not budgets	Assesses alignment across laws, plans, budgets and practice
Shawoo et al. (2022); Muwonge et al. (2022)	Politics hamper coordination; devolution results mixed	National level; climate funds not tested	Tests institutional arrangements of a county fund
Lutta et al. (2025); FSD Kenya (2024)	Mapped county climate finance; Nandi commits 2% of development budget	Descriptive; no link to sustainability	Relates resource mobilisation to sustainability
Mulwaa and Gravesen (2026)	Fiscal rules and conditional transfers constrain county adaptation	Nandi not covered; sustainability not measured	Measures sustainability and tests leadership as moderator
Tye and Suarez (2021); Rahman et al. (2023)	Local actors rarely decide on finance; risk of tokenism	Participation not linked to fund sustainability	Tests participation and accountability against sustainability

Source: Researcher (2026)

CHAPTER THREE

RESEARCH METHODOLOGY

3.1 Introduction

This chapter explains how the study will be conducted. It covers the research design, location of the study, target population, sampling techniques and sample size, research instruments, pilot testing, validity and reliability, data collection procedures, data analysis and ethical considerations.

3.2 Research Design

The study will use a convergent parallel mixed methods design. Quantitative and qualitative data will be gathered during the same period, analysed separately and then brought together to see whether the two sets of results agree or add to each other (Creswell & Creswell, 2023). The quantitative part will take the form of a descriptive and correlational survey that measures the relationship between the dimensions of regulatory alignment and the sustainability of the climate fund. The qualitative part will use key informant interviews and document analysis to explain how and why these relationships take the form they do. The design suits the study because regulatory alignment has a measurable side, such as budget allocations and reporting deadlines, and a contextual side, such as political will and the way committees actually work, which numbers alone cannot capture.

3.3 Location of the Study

The study will be carried out in Nandi County in the North Rift region of Kenya. The county headquarters is in Kapsabet, and the county borders Uasin Gishu, Kakamega, Vihiga, Kisumu and Kericho counties. It has six sub-counties, 30 wards and a population of 885,711 (KNBS, 2019). Nandi was chosen for three reasons. It has passed climate fund legislation, is implementing FLLoCA and has completed a ward-level participatory climate risk assessment (County Government of Nandi, 2023b; FSD Kenya, 2024). It has received far less research attention than the arid pilot counties. And because its economy depends on climate-sensitive tea, dairy and maize farming, the survival of its climate fund matters directly for livelihoods (County Government of Nandi, 2023a).

3.4 Target Population

The target population is 400 people directly involved in governing and using the Nandi County climate fund. They include officers of the Climate Change Unit and of the departments responsible for environment, finance and economic planning, agriculture and water; members of the county climate change steering and planning committees and

the fund administration; members of the County Assembly committees on environment and on budget and appropriations; members of the 30 Ward Climate Change Planning Committees; and representatives of civil society and community-based organisations working on climate action. The figures in Table 3.1 are estimates based on the county's institutional structure and will be confirmed from county records before sampling.

Table 3.1: Target Population

Category of Respondents	Target Population
Officers of the Climate Change Unit and technical departments (environment, finance and economic planning, agriculture, water)	46
Members of the county climate change steering and planning committees and fund administration	14
Members of the County Assembly committees on environment and on budget and appropriations	20
Members of Ward Climate Change Planning Committees (30 wards × about 10 members)	300
Representatives of civil society and community-based organisations	20
Total	400

Source: County Government of Nandi (2023b); researcher estimates (2026)

3.5 Sampling Techniques and Sample Size

3.5.1 Sample Size

The sample size was calculated using Yamane's (1967) formula at a 95% confidence level and a 5% margin of error:

$$n = N / (1 + N(e)^2)$$

where n is the sample size, N is the target population (400) and e is the margin of error (0.05). Substituting these values gives:

$$n = 400 / (1 + 400 \times 0.0025) = 400 / 2 = 200 \text{ respondents}$$

3.5.2 Sampling Techniques

Proportionate stratified random sampling will be used to select survey respondents. The population will be divided into the five strata shown in Table 3.1, and each stratum will contribute respondents in proportion to its size. Within each stratum, respondents will be picked by simple random sampling from lists obtained from the county. Ward committee respondents will be spread across all 30 wards so that every sub-county is represented. In addition, eight key informants will be selected purposively because of their direct knowledge of the fund. They are the County Executive Committee Member for environment and climate change, the Chief Officer for finance, the Climate Change

Unit coordinator, the FLLOCA county focal person, the chairpersons of the County Assembly environment committee and budget and appropriations committee, the fund administrator, and a representative of a leading civil society organisation working on climate change in the county.

Table 3.2: Sample Size Distribution

Category of Respondents	Population (N)	Proportion	Sample (n)
Climate Change Unit and technical departments	46	11.5%	23
Steering and planning committees and fund administration	14	3.5%	7
County Assembly committee members	20	5.0%	10
Ward Climate Change Planning Committees	300	75.0%	150
Civil society and community-based organisations	20	5.0%	10
Total	400	100.0%	200

Source: Researcher (2026)

3.6 Research Instruments

Three instruments will be used so that each source of data can be checked against the others.

Questionnaire. A structured questionnaire will be administered to the 200 respondents. It has sections on background information, each of the four independent variables, the moderating variable and the dependent variable. Items are measured on a five-point Likert scale from 1 (strongly disagree) to 5 (strongly agree), and a final open question invites suggestions. The questionnaire will be available in English and Kiswahili.

Key informant interview guide. A semi-structured guide will be used to interview the eight key informants. The questions explore how the fund is governed and financed, how communities take part, how leaders support the fund and what plans exist for the period after FLLOCA.

Document analysis checklist. The checklist will guide a review of the county climate change fund law and regulations, the County Integrated Development Plan 2023–2027, the county climate change action plan, annual budgets and budget implementation reports, audit reports and FLLOCA annual performance assessments. It includes a regulatory alignment matrix that scores each county instrument against the relevant provisions of the Climate Change Act, 2016 (as amended), the Public Finance

Management Act, 2012 and the County Governments Act, 2012. Table 3.3 shows how the variables will be measured.

Table 3.3: Operationalisation of Study Variables

Variable	Type	Indicators	Measurement
Legal and policy framework compliance	Independent	County fund law and regulations in force; consistency with national Acts; climate change in CIDP and annual plans; timely statutory reports	Likert scale; alignment matrix score
Institutional governance arrangements	Independent	Functional Climate Change Unit and committees; staffing and skills; clear roles; regular meetings; internal controls and audit	Likert scale
Financial resource mobilisation	Independent	Actual budget share to the fund; timely disbursement; number of funding sources; own-source revenue share; absorption rate	Likert scale; budget ratios
Community participation and accountability	Independent	Role in risk assessment and project choice; inclusion of women, youth and PWDs; access to information; social audits; grievance redress	Likert scale
Political and administrative leadership	Moderating	Executive and Assembly support; continuity of key officers; intergovernmental cooperation	Likert scale
Strategic sustainability of the climate fund	Dependent	Predictable yearly allocations; diversified revenue; institutions that outlast grants; maintained assets; transition plan	Likert scale; document evidence

Source: Researcher (2026)

3.7 Pilot Testing

The questionnaire and interview guide will be pre-tested in neighbouring Uasin Gishu County, which is also a FLLoCA county and shares similar agro-ecological conditions. Twenty respondents, equal to 10% of the sample, will take part, which is within the range generally considered adequate for a pilot (Creswell & Creswell, 2023). Pilot respondents will not take part in the main study. The pilot will reveal unclear or sensitive items, test how long the questionnaire takes and check the reliability of the scales.

3.7.1 Validity of Research Instruments

Validity refers to the degree to which an instrument measures what it is intended to measure (Creswell & Creswell, 2023). Content validity will be established by asking

the university supervisor and two experts in climate finance and public finance to rate the relevance of each item to the study objectives. A Content Validity Index (CVI) will be computed, and items that score below 0.70 will be revised or removed. Construct validity will be supported by deriving each item from the theories and studies reviewed in Chapter Two. Combining questionnaire, interview and documentary evidence will further strengthen the credibility of the findings.

3.7.2 Reliability of Research Instruments

Reliability is the consistency with which an instrument produces similar results under similar conditions (Creswell & Creswell, 2023). The internal consistency of each questionnaire scale will be tested using Cronbach's alpha, and a coefficient of 0.70 or higher will be accepted. Items that lower the coefficient of their scale will be reviewed before the main data collection. For the qualitative data, dependability will be supported by keeping an audit trail of interview notes, transcripts and coding decisions (Braun & Clarke, 2022).

3.8 Data Collection Procedures

Once the proposal is approved, the researcher will obtain an introduction letter from Mount Kenya University, ethical clearance from the University's ethics review committee and a research permit from the National Commission for Science, Technology and Innovation (NACOSTI). Authorisation will then be sought from the County Government of Nandi and the County Commissioner. Three research assistants will be recruited and trained on the instruments and on research ethics. County officers will receive questionnaires through the drop-and-pick-later method, while ward committee members will complete them in person with help where needed. The researcher will conduct the key informant interviews at times and places convenient to the informants. Each interview will last about 45 minutes and will be audio-recorded only with consent. Documents will be obtained from the county website, the Office of the Controller of Budget, the Office of the Auditor-General and the Climate Change Unit.

3.9 Data Analysis and Presentation

Completed questionnaires will be checked, coded and entered into the Statistical Package for the Social Sciences (SPSS) version 29. Frequencies, percentages, means and standard deviations will be used to describe responses on each variable. Pearson's correlation coefficient will show the strength and direction of the relationship between each independent variable and the dependent variable. Multiple linear regression will then be used to test hypotheses H_{01} to H_{04} using the following model:

$$Y = \beta_0 + \beta_1 X_1 + \beta_2 X_2 + \beta_3 X_3 + \beta_4 X_4 + \varepsilon$$

where Y is the strategic sustainability of the climate fund, X_1 is legal and policy framework compliance, X_2 is institutional governance arrangements, X_3 is financial resource mobilisation, X_4 is community participation and accountability, β_0 is the constant, β_1 to β_4 are the regression coefficients and ε is the error term. To test H_{05} , moderated multiple regression will be used. A composite regulatory alignment index (X), the moderator (M) and their interaction term ($X \times M$) will be entered in successive steps:

$$Y = \beta_0 + \beta_1 X + \beta_2 M + \beta_3 (X \times M) + \varepsilon$$

Moderation will be confirmed if the interaction term is significant and the change in R^2 is significant. Before the regressions are run, the data will be checked for normality, linearity, multicollinearity and homoscedasticity, and hypotheses will be rejected where the p-value is below 0.05.

Interview recordings will be transcribed and analysed thematically following the six phases described by Braun and Clarke (2022), with the help of NVivo. Documents will be scored using the regulatory alignment matrix, and trends in climate fund allocations and absorption from 2021/2022 to 2025/2026 will be computed from budget and expenditure reports. Results will be presented in tables, charts and narrative form, and the quantitative and qualitative findings will be brought together during interpretation. Table 3.4 summarises the analysis plan.

Table 3.4: Summary of Data Analysis by Objective

Objective	Data Source	Method of Analysis
1. Legal and policy framework compliance	Questionnaire; documents; KIIs	Descriptive statistics; alignment matrix; correlation; regression; thematic analysis
2. Institutional governance arrangements	Questionnaire; KIIs	Descriptive statistics; correlation; regression; thematic analysis
3. Financial resource mobilisation	Questionnaire; budget reports; KIIs	Descriptive statistics; trend analysis; correlation; regression
4. Community participation and accountability	Questionnaire; KIIs	Descriptive statistics; correlation; regression; thematic analysis
5. Moderating effect of leadership	Questionnaire; KIIs	Moderated multiple regression; thematic analysis

Source: Researcher (2026)

3.10 Ethical Considerations

The study will follow the research ethics guidelines of Mount Kenya University. Ethical clearance will be sought from the University's ethics review committee and a research permit from NACOSTI before any data are collected. Participation will be voluntary. Every respondent will be told the purpose of the study and will sign an informed consent form, and anyone may withdraw at any point without penalty. Questionnaires will not record names, and interview data will be anonymised using codes. Data will be stored in password-protected files and used only for academic purposes. Because some of the information concerns public funds, the researcher will report findings about institutions rather than individuals and will avoid any statement that could expose a respondent. All sources will be acknowledged using APA 7th edition, and the final work will be subjected to a similarity check. A summary of the findings will be shared with the County Government of Nandi and the participating committees.

REFERENCES

- Braun, V., & Clarke, V. (2022). *Thematic analysis: A practical guide*. SAGE Publications.
- Coger, T., Dinshaw, A., Tye, S., Kratzer, B., Thazin Aung, M., Cunningham, E., Ramkissoon, C., Gupta, S., Bodrud-Doza, M., Karamallis, A., Mbewe, S., Granderson, A., Dolcemascolo, G., Tewary, A., Mirza, A., & Carthy, A. (2022). *Locally led adaptation: From principles to practice* [Working paper]. World Resources Institute. <https://doi.org/10.46830/wriwp.21.00142>
- County Government of Nandi. (2023a). *Nandi County integrated development plan 2023–2027*. County Government of Nandi.
- County Government of Nandi. (2023b). *Nandi County participatory climate risk assessment report*. County Government of Nandi.
- Creswell, J. W., & Creswell, J. D. (2023). *Research design: Qualitative, quantitative, and mixed methods approaches* (6th ed.). SAGE Publications.
- DiMaggio, P. J., & Powell, W. W. (1983). The iron cage revisited: Institutional isomorphism and collective rationality in organizational fields. *American Sociological Review*, 48(2), 147–160. <https://doi.org/10.2307/2095101>
- Freeman, R. E. (1984). *Strategic management: A stakeholder approach*. Pitman.
- Freeman, R. E., Dmytriiev, S. D., & Phillips, R. A. (2021). Stakeholder theory and the resource-based view of the firm. *Journal of Management*, 47(7), 1757–1770. <https://doi.org/10.1177/0149206321993576>
- FSD Kenya. (2024). *Green finance assessment summary report: Nandi County*. Financial Sector Deepening Kenya.
- Intergovernmental Panel on Climate Change. (2022). *Climate change 2022: Impacts, adaptation and vulnerability. Contribution of Working Group II to the Sixth Assessment Report of the Intergovernmental Panel on Climate Change*. Cambridge University Press. <https://doi.org/10.1017/9781009325844>
- Kellner, E., Petrovics, D., & Huitema, D. (2024). Polycentric climate governance: The state, local action, democratic preferences, and power—Emerging insights and a research agenda. *Global Environmental Politics*, 24(3), 24–47. https://doi.org/10.1162/glep_a_00753
- Kenya National Bureau of Statistics. (2019). *2019 Kenya population and housing census: Volume I. Population by county and sub-county*. KNBS.

- Kogo, B. K., Kumar, L., & Koech, R. (2021). Climate change and variability in Kenya: A review of impacts on agriculture and food security. *Environment, Development and Sustainability*, 23(1), 23–43. <https://doi.org/10.1007/s10668-020-00589-1>
- Kowalczyk, M., & Dorevitch, S. (2024). A framework for evaluating local adaptive capacity to health impacts of climate change: Use of Kenya’s county-level integrated development plans. *Annals of Global Health*, 90(1). <https://doi.org/10.5334/aogh.4266>
- Lutta, A., Kehbila, A., Kisang, O., Osano, P., & Macharia, P. (2025). *Climate finance landscape in arid and semi-arid counties of Kenya* [SEI report]. Stockholm Environment Institute. <https://doi.org/10.51414/sei2025.054>
- Mbugua, J. K. (2025). Implementation challenges of Kenya’s Climate Change Act (2016) at the urban county level: Case studies from counties in Kenya. *African Journal of Climate Change and Resource Sustainability*, 4(1), 314–323. <https://doi.org/10.37284/ajccrs.4.1.3108>
- Meyer, J. W., & Rowan, B. (1977). Institutionalized organizations: Formal structure as myth and ceremony. *American Journal of Sociology*, 83(2), 340–363. <https://doi.org/10.1086/226550>
- Ministry of Environment, Climate Change and Forestry. (2023). *National climate change action plan (NCCAP) 2023–2027: Towards low carbon climate resilient development*. Government of Kenya.
- Mong’o, F., Koske, J., & Muriuki, J. (2025). Tea farmers’ perceptions of the influence of climate variability on dodder occurrence in Nandi County, Kenya. *African Journal of Climate Change and Resource Sustainability*, 4(1), 1–11. <https://doi.org/10.37284/ajccrs.4.1.2605>
- Mulwaa, J., & Gravesen, M. L. (2026). From devolution to distortion: Political and fiscal constraints on locally led adaptation in Kenya. *Climate Policy*. Advance online publication. <https://doi.org/10.1080/14693062.2026.2703375>
- Muwonge, A., Williamson, T. S., Owuor, C., & Kinuthia, M. (2022). *Making devolution work for service delivery in Kenya*. World Bank. <https://doi.org/10.1596/978-1-4648-1726-7>
- Office of the Controller of Budget. (2025). *County governments budget implementation review report for the financial year 2024/2025*. Office of the Controller of Budget.

- Oino, P. G., & Musau, E. (2024). Community engagement in climate change and adaptation in Kenya: A socio-anthropological and linguistic perspective. *African Journal of Climate Change and Resource Sustainability*, 3(1), 387–404. <https://doi.org/10.37284/ajccrs.3.1.2444>
- Okeke-Ogbuafor, N., Atela, J., Nantongo, M. G., Aoko, L., Tonui, C., Rajah, E., Osamba, J., Odongo, J. O., Atchade, A. J., & Gray, T. (2024). Locally led adaptation metrics for Africa: A framework for building resilience in smallholder farming sectors. *Frontiers in Climate*, 6, Article 1429462. <https://doi.org/10.3389/fclim.2024.1429462>
- Oluoch, J., Bolo, E., Randa, T., & Asarpota, K. (2025). Strengthening local climate governance: Insights from Nairobi’s subnational government stocktake. *Journal of City Climate Policy and Economy*, 3(1), 4–24. <https://doi.org/10.3138/jccpe-2024-0017>
- Omukuti, J., Barrett, S., White, P. C. L., Marchant, R., & Averchenkova, A. (2022). The green climate fund and its shortcomings in local delivery of adaptation finance. *Climate Policy*, 22(9–10), 1225–1240. <https://doi.org/10.1080/14693062.2022.2093152>
- Ostrom, E. (2010). Polycentric systems for coping with collective action and global environmental change. *Global Environmental Change*, 20(4), 550–557. <https://doi.org/10.1016/j.gloenvcha.2010.07.004>
- Pfeffer, J., & Salancik, G. R. (1978). *The external control of organizations: A resource dependence perspective*. Harper & Row.
- Rahman, M. F., Falzon, D., Robinson, S., Kuhl, L., Westoby, R., Omukuti, J., Schipper, E. L. F., McNamara, K. E., Resurrección, B. P., Mfitumukiza, D., & Nadiruzzaman, M. (2023). Locally led adaptation: Promise, pitfalls, and possibilities. *Ambio*, 52(10), 1543–1557. <https://doi.org/10.1007/s13280-023-01884-7>
- Republic of Kenya. (2010). *The Constitution of Kenya, 2010*. National Council for Law Reporting.
- Republic of Kenya. (2012a). *County Governments Act, No. 17 of 2012*. Government Printer.
- Republic of Kenya. (2012b). *Public Finance Management Act, No. 18 of 2012*. Government Printer.
- Republic of Kenya. (2016). *Climate Change Act, No. 11 of 2016*. Government Printer.

- Republic of Kenya. (2023). *Climate Change (Amendment) Act, 2023*. Government Printer.
- Roberts, J. T., Weikmans, R., Robinson, S., Ciplet, D., Khan, M., & Falzon, D. (2021). Rebooting a failed promise of climate finance. *Nature Climate Change*, 11(3), 180–182. <https://doi.org/10.1038/s41558-021-00990-2>
- Shawoo, Z., Dzebo, A., Funder, M., & Dupuy, K. (2022). Country ownership in climate finance coordination: A comparative assessment of Kenya and Zambia. *Climate Policy*, 22(9–10), 1266–1280. <https://doi.org/10.1080/14693062.2022.2098227>
- Tye, S., & Suarez, I. (2021). *Locally led climate adaptation: What is needed to accelerate action and support?* [Working paper]. World Resources Institute. <https://doi.org/10.46830/wriwp.20.00039>
- United Nations Environment Programme. (2023). *Adaptation gap report 2023: Underfinanced. Underprepared. Inadequate investment and planning on climate adaptation leaves world exposed*. UNEP. <https://doi.org/10.59117/20.500.11822/43796>
- United Nations Environment Programme. (2024). *Adaptation gap report 2024: Come hell and high water*. UNEP. <https://doi.org/10.59117/20.500.11822/46497>
- World Bank. (2021). *Kenya Financing Locally-Led Climate Action Program: Program technical assessment*. World Bank.
- Yamane, T. (1967). *Statistics: An introductory analysis* (2nd ed.). Harper & Row.
- Zhang, F., & Welch, E. W. (2023). Explaining public organization adaptation to climate change: Configurations of macro- and meso-level institutional logics. *Journal of Public Administration Research and Theory*, 33(2), 357–374. <https://doi.org/10.1093/jopart/muac027>

APPENDICES

Appendix I: Letter of Introduction

[Student Name]

Mount Kenya University, School of Social Sciences

P.O. Box 342-01000, Thika

Dear Respondent,

RE: REQUEST TO PARTICIPATE IN A RESEARCH STUDY

I am a Master of Public Policy and Administration student at Mount Kenya University. As part of the requirements for the degree, I am carrying out a study titled “Regulatory Alignment and Strategic Sustainability of Climate Funds in Devolved Governance: A Case of Nandi County, Kenya”.

You have been selected because of your role in the county’s climate finance system. I kindly request you to spare about 20 minutes to complete the attached questionnaire or to take part in an interview. The information you give will be treated as confidential and used only for academic purposes, and your name will not appear in the report.

Thank you for your time and cooperation.

Yours faithfully,

[Student Name]

Reg. No. [Registration Number]

Appendix II: Informed Consent Form

I have been told the purpose of this study and what taking part involves. I understand that I may decline to answer any question or withdraw at any time without any consequence, and that my responses will be kept confidential and used only for academic purposes. I therefore agree to take part voluntarily.

Signature of respondent: _____ Date: _____

Signature of researcher: _____ Date: _____

Appendix III: Questionnaire

Instructions: Please tick (✓) the box that best matches your view or write your answer in the space provided. Do not write your name on this questionnaire.

Section A: Background Information

1. Gender: Male ☐ Female ☐
2. Age (years): 18–35 ☐ 36–45 ☐ 46–55 ☐ Above 55 ☐
3. Highest level of education: Secondary ☐ Diploma ☐ Degree ☐ Postgraduate ☐
4. Category: County officer ☐ Steering committee ☐ MCA ☐ WCCPC member ☐ CSO/CBO ☐
5. Years involved in county climate action: Below 2 ☐ 2–3 ☐ 4–5 ☐ Above 5 ☐
6. Sub-county: Aldai ☐ Chesumei ☐ Emgwen ☐ Mosop ☐ Nandi Hills ☐ Tinderet ☐

Section B: Legal and Policy Framework Compliance

Key: SD = Strongly Disagree (1); D = Disagree (2); N = Neutral (3); A = Agree (4); SA = Strongly Agree (5)

No.	Statement	SD	D	N	A	SA
7	The county climate change fund law and its regulations are fully in force.					
8	County climate laws are consistent with the Climate Change Act, 2016 (as amended in 2023).					
9	Climate change priorities are clearly reflected in the CIDP and annual development plans.					
10	The county meets the reporting deadlines required by the Climate Change Act and PFM Act.					
11	The two per cent development budget commitment to the fund is respected every year.					
12	County climate laws are reviewed when national laws change.					

Section C: Institutional Governance Arrangements

Key: SD = Strongly Disagree (1); D = Disagree (2); N = Neutral (3); A = Agree (4); SA = Strongly Agree (5)

No.	Statement	SD	D	N	A	SA
13	The county Climate Change Unit is adequately staffed and functional.					
14	The county climate change steering committee meets regularly.					
15	My Ward Climate Change Planning Committee is active and meets regularly.					

No.	Statement	SD	D	N	A	SA
16	The roles of the different climate fund bodies are clear.					
17	Officers managing the fund have the technical skills required.					
18	Internal controls and audits of the fund are effective.					

Section D: Financial Resource Mobilisation

Key: SD = Strongly Disagree (1); D = Disagree (2); N = Neutral (3); A = Agree (4); SA = Strongly Agree (5)

No.	Statement	SD	D	N	A	SA
19	The amount actually allocated to the fund matches what the law requires.					
20	Money for climate projects is released on time.					
21	The fund receives money from more than one source.					
22	The county contributes own-source revenue to the fund.					
23	The county actively seeks new sources of climate finance.					
24	Funds allocated to climate projects are fully spent within the financial year.					

Section E: Community Participation and Accountability

Key: SD = Strongly Disagree (1); D = Disagree (2); N = Neutral (3); A = Agree (4); SA = Strongly Agree (5)

No.	Statement	SD	D	N	A	SA
25	Communities took part in the ward climate risk assessment.					
26	Community members help decide which climate projects are funded.					
27	Women, youth and persons with disabilities have a real voice in fund decisions.					
28	Information on fund allocations and spending is available to the public.					
29	Social audits of climate projects are carried out in my ward.					
30	There is a working channel for complaints about climate projects.					

Section F: Political and Administrative Leadership

Key: SD = Strongly Disagree (1); D = Disagree (2); N = Neutral (3); A = Agree (4); SA = Strongly Agree (5)

No.	Statement	SD	D	N	A	SA
31	The Governor and County Executive actively support the climate fund.					
32	The County Assembly protects the climate fund during budget approval.					
33	Key officers managing the fund have remained in office long enough to be effective.					
34	The county works well with the national government on climate finance.					

Section G: Strategic Sustainability of the Climate Fund

Key: SD = Strongly Disagree (1); D = Disagree (2); N = Neutral (3); A = Agree (4); SA = Strongly Agree (5)

No.	Statement	SD	D	N	A	SA
35	The fund receives predictable allocations every year.					
36	The fund would continue to operate if FLLoCA grants ended.					
37	Climate fund institutions will remain in place after external support ends.					
38	Projects financed by the fund are well maintained after completion.					
39	Communities feel a sense of ownership over completed climate projects.					
40	The county has a clear plan for financing the fund after FLLoCA.					

Section H: General Comments

41. In your opinion, what should be done to keep the Nandi County climate fund running in the long term?

.....

.....

.....

Thank you for your participation.

Appendix IV: Key Informant Interview Guide

Introduction: The researcher will introduce the study, explain its purpose, assure the informant of confidentiality and seek consent to take notes and record the interview.

1. Please describe your role in the management or oversight of the Nandi County climate fund.
2. How well do the county's climate laws and regulations match national requirements? Where are the gaps?
3. How effective are the Climate Change Unit, the steering committee and the Ward Climate Change Planning Committees in practice?
4. Where does the money in the fund come from, and how reliable are these sources?
5. How are communities involved in choosing and monitoring climate projects? How is information shared with them?
6. How have political and administrative leaders supported or constrained the fund?
7. What will happen to the fund when the current FLLoCA phase ends? Is there a plan?
8. What changes would you recommend to make the fund sustainable in the long term?

Appendix V: Document Analysis Checklist and Regulatory Alignment Matrix

Scoring: 0 = Not in place; 1 = Partly in place; 2 = Fully in place and consistent with national law

Requirement	National Source	County Instrument / Evidence	Score (0–2)
County climate change law enacted	Climate Change Act, 2016 (as amended)		
Climate change fund established by law	PFM Act, 2012, s.116		
Climate change unit established and staffed	Climate Change Act; FLLoCA conditions		
Climate change mainstreamed in CIDP 2023–2027	Climate Change Act; County Governments Act		
County climate change action plan in place	Climate Change Act; NCCAP 2023–2027		
Development budget share allocated to the fund	County fund law; FLLoCA conditions		

Requirement	National Source	County Instrument / Evidence	Score (0–2)
Annual climate change reports submitted	Climate Change Act		
Public participation records for climate projects	Constitution; County Governments Act		
Fund audited by the Auditor-General	PFM Act, 2012		

Appendix VI: Work Plan

Activity	Timeline
Proposal writing and supervision	September – December 2026
Proposal defence and corrections	January 2027
Ethical clearance and NACOSTI permit	February 2027
Pilot study and revision of instruments	March 2027
Data collection	April – May 2027
Data analysis	June 2027
Thesis writing and supervision	July – August 2027
Thesis submission and defence	September 2027

Appendix VII: Research Budget

Item	Amount (KES)
Stationery, printing and binding	15,000
Internet, data bundles and airtime	10,000
NACOSTI research permit and ethical review	6,000
Pilot study in Uasin Gishu County (travel and materials)	15,000
Translation of instruments into Kiswahili	5,000
Training and remuneration of three research assistants	60,000
Travel and subsistence during data collection (six sub-counties)	55,000
Refreshments for respondents and key informants	10,000
Data analysis software and transcription	20,000
Thesis typesetting, printing and binding	15,000
Subtotal	211,000
Contingency (10%)	21,100
Total	232,100